

12 May 2026 02:24:54 ET | 13 pages

Talabat (TALABAT.DU)

1Q26: GMV ahead at +18%YoY, yet growth guidance unchanged

CITI'S TAKE

cFX GMV +18% YoY in 1Q26 Citi/Company-compiled consensus +16%/+13% but likely anticipated given [DHER's](#) 5% beat on MENA GMV posted two weeks ago. EBITDA/net profit came in 1%/4% below our expectations but 10%/9% above consensus. Despite higher GMV, Talabat reconfirmed its FY26 guidance of 11-14% growth as 1Q was supported by Eid seasonality (added 2-3pp) and increased eat-at-home consumption due the conflict that normalized since mid-April. We note that GMV in GCC was +12% in 1Q, meaning that without the tailwinds, the growth in GCC is likely in high-single digits. FY26 net income guidance raised by \$20mn to \$300-330mn due to higher clarity on non-operating costs, implying limited upside to company-compiled consensus of \$319mn. A decent start to the year, however, apart from the transitory GMV tailwinds in 1Q, there are no underlying changes to growth/EBITDA margin and investment outlook.

cFX GMV +18% YoY — Talabat reported +18% cFX GMV growth in 1Q (+19% reported) above Citi/Company-compiled consensus at +16%/+13% and trending above FY26 guidance of 11-14% growth.

As per Talabat, growth was supported by favourable Eid seasonality (added 2-3pp of growth) and increased eat-at-home consumption due to the conflict. The largest markets UAE and Kuwait grew at double digits. Growth in GCC slowed to +12%, non-GCC remained solid at +52% YoY. Talabat expects 2Q to see a corresponding drag from the reversed calendar dynamic, while consumption patterns have largely normalised since Mid-April, hence Talabat still sees FY26 GMV at 11-14% YoY.

EBITDA margin declines as guided — Adj. EBITDA declined by 9% YoY to \$130mn, 1% below Citi but 10% above VA consensus as EBITDA margin declined by 1.5pp to 4.8% due to planned investments. Talabat allocated \$25mn out ~ \$120mn investments for Everyday App ecosystem planned for 2026.

Reported net income declined by 18% to USD87mn, ~5% below CitiE but 8% above

Neutral / High Risk

Price (11 May 26 14:00)	Dh0.90
Target price	Dh0.90
Expected share price return	0.0%
Expected dividend yield	4.8%
Expected total return	4.8%
Market Cap	Dh20,959M US\$5,706M

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Talabat (USD)

Year to 31 Dec	2024A	2025A	2026E	2027E	2028E
Sales (\$M)	2,871.9	3,850.6	4,468.5	5,196.1	5,883.5
Net Income (\$M)	346.2	467.7	302.0	366.5	404.6
Diluted EPS (\$)	0.01	0.02	0.01	0.02	0.02
Diluted EPS (Old) (\$)	0.01	0.02	0.01	0.02	0.02
PE (x)	16.5	12.2	18.9	15.6	14.1
EV/EBITDA (x)	10.7	8.2	9.2	7.6	6.5
DPS (\$)	0.00	0.01	0.02	0.01	0.01
Net Div Yield (%)	1.7	5.5	6.2	5.3	6.1

consensus. FCF was up 6% YoY (FCF/GMV down 0.5pp YoY).

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

GMV, EBITDA guidance unchanged; net profit increased — Talabat increased its FY26 net income guidance by \$20mn for to \$300-330mn, in line with company-compiled consensus of \$319mn, reflecting higher clarity on non-operating costs, such as D&A on actual vs. planned capex phasing, and expected tax expense. Other guidance metrics re-affirmed: 11-14% y/y (cFX) GMV growth, 14-17% y/y (cFX) Revenue growth, Adj. EBITDA of \$510-540mn, and FCF of \$370-400mn.

Implications — A decent start to the year, however, apart from the transitory GMV tailwinds in 1Q, there are no underlying changes to growth/EBITDA margin and investment outlook.

Figure 1. Talabat1Q26

USDmn	1Q25 PF	2Q25	3Q25	4Q25	1Q26A	YoY	1Q26e Citi	1Q26e Cons	vs. Citi	vs. cons	FY26e guidance
GMV Total	2,257	2,616	2,579	2,655	2,685	19%	2,623	2,547	2.3%	5.4%	
YoY%	28%	30%	24%	20%	19%	-	16%	13%			11-14%YoY
Adj. EBITDA	143	169	155	159	130	-9%	131	118	-0.6%	10.2%	
% of GMV	6.3%	6.4%	6.0%	6.0%	4.8%	-1.5pp	5.0%	4.6%	-0.1pp	0.2pp	4.4%-4.8%
Net profit reported	106.0	121.3	120.9	122.2	87.0	-18%	91	80	-4.0%	8.7%	
% of GMV	4.7%	4.6%	4.7%	4.6%	3.2%	-1.5pp	3.4%	3.0%	-0.2pp	0.3pp	2.6%-2.9%
Adj. FCF	98	190	99	133	104	6%	95	93	9.3%	11.8%	
% of GMV	4.3%	7.3%	3.8%	5.0%	3.9%	-0.5pp	3.6%	3.5%	0.3pp	0.4pp	3.2%-3.6%

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Source: Citi Research, Company Reports, company-compiled consensus

Talabat

(TALABAT.DU; Dh 0.9; 2H; 11 May 26; 14:00)

Valuation

Our target price for Talabat is AED0.9 and is based on 50/50 mix of: 1) DCF AED1.05: WACC 12% (11% GCC/16% non GCC), terminal growth rate 3%, and long-term EBITDA/GMV margin at 4.5% (~2pp below 2024); and 2) target 2026e P/E of 14x (AED0.8).

Risks

We rate the stock High Risk, reflecting uncertainty regarding margin trajectory amid elevated competition and recent top management change.

Key upside risks to our target price include: slower Meituan expansion; limited churn on high-value customers; company-specific initiatives (e.g., AdTech, higher efficiency, and cost cutting); regulation changes; maintaining vendor-funded (rather than shifting to platform-funded) promotions; and buybacks.

The key downside risks to our target price include: higher-than-expected levels of investments leading to EBITDA margin dropping below 5% longer-term (our base case); macro risks; overhang risks; and regulation.

Delivery Hero SE

(DHER.DE; €23.6; 2; 11 May 26; 17:30)

Valuation

Our target price for Delivery Hero shares is EUR21. Our target price is based on a blend of DCF (EUR20.1) and SOTP (EUR21.5). Our DCF assumes a WACC of 10% (assumptions: 11.5% revenue-weighted cost-of-equity, 4.7% cost-of-debt, and 1.45 beta), long-term EBITDA margin of c.4% of GMV, and terminal growth of 2%. Our SOTP is based on Talabat's market valuation, an 8x 2027E EBITDA multiple for Korea business reflective of its limited growth, and some value assigned to the remainder of its operations.

Risks

In addition to the usual economic sensitivity, we see the following company-specific risk factors that could impede/improve upon the share price vs. our target price: competitive markets; the expansion into delivery increasing profit volatility; future growth investments that forgo near-term profit; inability to secure funding as debt matures. Upside risks to our Neutral thesis include positive outcomes from Delivery Hero's strategic review, including potential asset sales or capital market activity. Should Keeta (Meituan) fail to establish a competitive position in DHER's MENA markets, this could provide scope for upside to revenue and adj. EBITDA from the region.

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Appendix A-1

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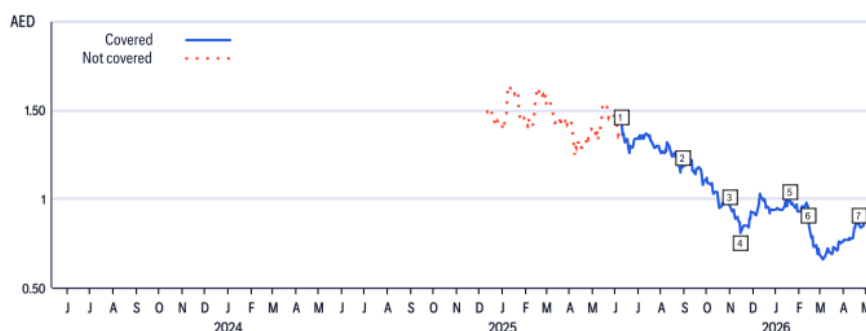
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Talabat (TALABAT.DU)

Ratings and Target Price History
Fundamental Research

Analyst: Maxim Nekrasov



	Date	Rating	Target Price	Closing Price
1	09-Jun-25 23:00:29	*3	*1.20	1.41
2	29-Aug-25 00:00:31	*2	1.20	1.18
3	31-Oct-25 01:00:00	*2H	*1.14	0.96

	Date	Rating	Target Price	Closing Price
4	14-Nov-25 00:00:00	2H	*1.02	0.81
5	19-Jan-26 12:50:23	2H	*1.00	0.99
6	15-Feb-26 23:00:10	2H	*0.82	0.86

	Date	Rating	Target Price	Closing Price
7	21-Apr-26 16:27:08	2H	*0.90	0.86

*Indicates Change

Rating/target price changes above reflect Eastern Time

Delivery Hero SE (DHER.DE)

Ratings and Target Price History
Fundamental Research

Analyst: Monique Pollard



	Date	Rating	Target Price	Closing Price
1	27-Jul-23 18:56:49	1	*51.00	41.00
2	14-Aug-23 07:09:02	1	*56.00	39.00
3	12-Jan-24 00:00:00	1	*39.00	23.79
4	26-Jan-24 14:24:28	1	*38.00	23.46
5	13-May-24 00:00:12	1	*35.00	25.32
6	11-Jul-24 01:56:28	1	*30.00	20.88
7	10-Sep-24 12:33:40	1	*32.00	26.65

	Date	Rating	Target Price	Closing Price
8	15-Oct-24 00:00:00	*2	*42.00	37.00
9	06-Jan-25 00:00:36	2	*30.00	27.90
10	03-Feb-25 00:08:53	2	*28.00	24.85
11	18-Feb-25 16:36:46	*3	*26.00	31.39
12	16-Apr-25 00:00:00	*2	*23.50	24.28
13	07-May-25 10:13:31	2	*25.00	24.42
14	21-Jul-25 01:29:47	2	*23.00	26.28

	Date	Rating	Target Price	Closing Price
15	15-Oct-25 10:43:15	2	*25.00	23.10
16	13-Nov-25 13:24:15	2	*19.00	18.00
17	11-Dec-25 00:00:00	*3	19.00	21.44
18	03-Mar-26 01:26:38	*2	19.00	17.26
19	01-Apr-26 11:25:05	2	*16.50	16.70
20	27-Apr-26 00:00:28	2	*20.00	19.73
21	01-May-26 11:44:43	2	*21.00	20.49

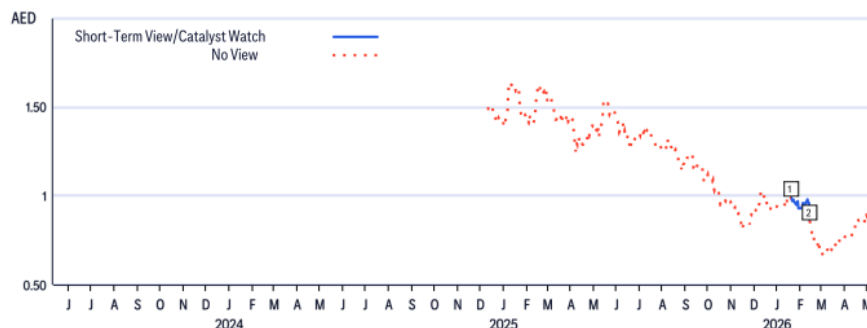
*Indicates Change

Rating/target price changes above reflect Eastern Time

Talabat (TALABAT.DU)

Short-Term View/Catalyst Watch Research

Analyst: Maxim Nekrasov



	Date	Action	Expected Direction	Duration	Closing Price
1	19-Jan-26 07:50:23	Add STV	Downside	30 Days	0.99
2	15-Feb-26 18:00:10	Remove STV	Downside	30 Days	0.86

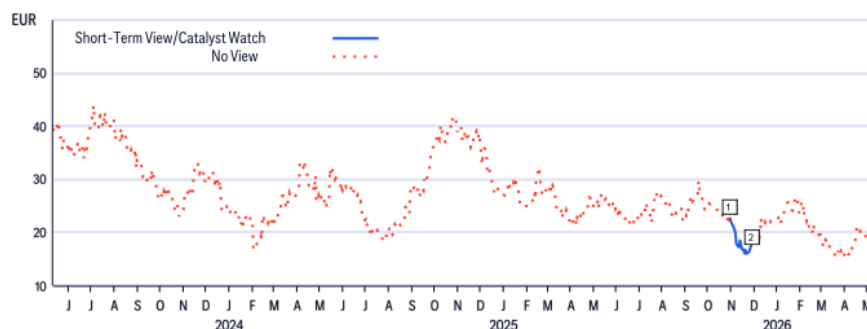
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Delivery Hero SE (DHER.DE)

Short-Term View/Catalyst Watch Research

Analyst: Monique Pollard



	Date	Action	Expected Direction	Duration	Closing Price
1	30-Oct-25 21:06:33	Add STV	Downside	30 Days	22.64
2	28-Nov-25 12:04:08	Remove STV	Downside	30 Days	20.10

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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